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Temu – Disrupting the US e-Commerce Market?

*This case was written by **K B S Kumar** and **Indu Perepu**, IBS Hyderabad. It was compiled from published sources, and is intended to be used as a basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation.*

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Temu – Disrupting the US e-Commerce Market?

“There is no other platform that offers this same type of advantage of the supply-chain connection to low-cost producers and the team purchases to drive this multi-level marketing at the individual level.”ⁱ

– Richard Crone, CEO and founder of Crone Consulting.

In May 2023, digital audience measurement company Comscore Media Metrix Multi-Platform¹ announced that online marketplace app Temu that had been launched just five months earlier in the US, had attracted 70.7 million unique visitors. Temu connected Chinese vendors to the US customers, and shipped items directly from China. Comparing Temu with Chinese online fast fashion retailer Shein² that had taken the global fast fashion world by storm, Comscore said Temu’s traffic was double that of Shein. By June 2023, Temu had been downloaded 70 million times, according to Apptopia^{3,4}.

Temu, based in Boston, USA, started its operations in September 2022, and in a short time made a huge impact on online shopping in the US. It was launched by China-based online retailer Pinduoduo⁵ and followed its direct-to-consumer business model.

To maintain correct inventory levels, reduce waste, cut intermediary costs, and also ensure that customers get what they need on time, precise forecasting is necessary. Temu used sales forecasting algorithms which could forecast demand patterns and sales trends through advanced data analysis and machine learning techniques. This called for building up the customer base rapidly. Temu used social media interactions, advertisements, gamification, and discovery commerce to attract customers to its platform. It also used a reward system, where users were given credits for getting their friends and family to sign up with Temu, for posting on social media, and for playing games on the app. These credits could be accumulated to get free products from Temu.

As Temu completed its first year, it grew at a brisk pace and spread to several countries across the world. The CEO and Co-founder of PDD, Lei Chen (Lei), said he was excited about Temu’s future prospects. However, Lei faced a slew of challenges. The main challenge was competition from Amazon Inc⁶, that was well entrenched in the US and the global e-commerce market. Temu also faced serious competition from Chinese players Shein and Tik-Tok⁷ that were expanding rapidly into Temu’s territory.

¹ Comscore Media Metrix Multi-Platform is a part of Comscore, a global *media* measurement and analytics company, based in the US. It provides an overview of audiences across different platforms – PCs, smartphones, and tablets.

² Shein is a China-based online only fast fashion retailer, which has revolutionized the global fast fashion market through its hyper-fast production process, quick delivery times, bargain basement pricing, and data-driven product offerings.

³ US-based Apptopia provides app analytics, data mining, and business intelligence services.

⁴ Shein took three years to cross 50 million downloads.

⁵ In 2022, Pinduoduo was renamed PDD Holdings. It operated two companies – Temu in the US and Pinduoduo in China.

⁶ US-based Amazon with a presence in over 50 countries is the leading e-commerce company in the world. It provides other services like cloud computing and streaming.

⁷ Tik-Tok is a short form video hosting service. It is owned by China-based ByteDance.

Temu's rapid growth surprised observers, but they remained skeptical. Adam Blacker, Director of content and communication at Apptopia, said, "*Temu's app performance is almost unprecedented. But it's too new and we don't know the outcome for Temu yet.*"ⁱⁱ Lei needed to find a viable model to consolidate Temu's customer base and retain it. He also needed to balance low prices with product quality. Lei's predecessor, Colin Zheng Huang, Co-founder and former CEO of Pinduoduo, had led the company to a huge success in China, and Lei was looking at replicating the feat in the US and global markets through Temu.

ABOUT PINDUODUO

Pinduoduo, based in Shanghai, China, was launched in 2015 as an agriculture related e-business. It brought cultivators and customers on to the same platform. Shoppers could meet the suppliers online, see the products on livestream, and agree on the price. Later, the company started selling white-labeled goods at low and subsidized prices.

Pinduoduo was built with the intention of providing consumers with a real time offline shopping experience even when shopping online. It used gamification to attract new customers and became the most popular e-commerce platform in China. One game involved growing virtual trees. On harvesting the virtual trees, customers received a real box of fruits. Pinduoduo sold products at extremely low prices and offered discounts of up to 90% by eliminating the middlemen. The app constantly displayed new items that users might be interested in.

Pinduoduo's model was built on team purchase or group buying, where shoppers gave recommendations to friends and asked them to join a group. When several people in a group bought products together, they got bulk discounts. Pinduoduo gave users points for inviting their friends, recommending it, and even for shopping often. Such incentives helped it acquire users rapidly. Pinduoduo was listed on the Nasdaq in 2018. It became the company with most e-commerce customers in China by 2020 and accounted for 33% of all e-commerce shipments in China. Its revenue was Yuan 130 billion⁸ in 2022.

By 2023, Pinduoduo had more than 730 million monthly active users – the number was twice the US population in 2023. In February 2023, Pinduoduo changed its name to PDD, with the Chinese company Pinduoduo as one subsidiary and Temu as another.

THE LAUNCH OF TEMU

Temu, meaning 'Team up, Price down' was based in Boston, Massachusetts, USA, and was operated by Whaleco. Inc., based in Delaware⁹. The website and mobile app of Temu were launched on September 01, 2022.¹⁰

Pinduoduo, which boasted 11 million suppliers, approached them a few months before the launch, and informed them about its plans to venture into the US. The Chinese suppliers had limited access to the US market, but were keen to sell their products in the US and so readily agreed to list their products on Temu.

Temu's website and app opened to a huge list products under 29 different categories and offered a 20% discount to first time-shoppers. The main categories included electronics, clothing, home and furniture items, and mobile phones. Some unique products like laundry detergent cups, pet hair removers, magnetic earrings, zipper slider etc. were also listed.

⁸ 1 US\$ ≈ 7.28 Chinese Yuan as of October 2023.

⁹ Temu's businesses in other countries was handled by Singapore-based company Elementary Innovation Pte.

¹⁰ In April 2023, Temu entered European market and started operating in France, Italy, Germany, The Netherlands, the UK, and Spain.

Temu offered low prices, much lower than those listed by Amazon and other e-commerce companies. For example, Bluetooth speakers were available at US\$ 7 on Temu, while on Amazon they were priced at US\$ 24. On Temu, an eyebrow pencil was available at around 50 cents, a backpack for US\$ 3, a smart watch for US\$ 17. For US\$ 1.17 a customer could buy 50 hair bands; 10 pairs of socks were priced at US\$ 3.55, and a set of six lip balms was available for less than a dollar.

Against each of the items the original price and discounted price were displayed along with the number of items already sold. The listings also included an announcement of special sales and offers like lightening deals, end of season sales, 90% off sales, etc. Analysts were of the view that Temu could not have been launched at a better time as the US consumers were wary of spending and were hunting around for bargains. *“The timing is very advantageous. You have extreme pressure on the consumer wallet right now,”*ⁱⁱⁱ said Michael Felice, an associate partner in Kearney’s¹¹.

Temu used the software from Pinduoduo to match the needs of customers in the US with suppliers and manufacturers in China who could fulfill those needs. The items ordered were shipped directly to the customers. Temu offered standard and express shipping services. Standard shipping was free for all the online orders. In case of express shipping, it was free if the order was for more than US\$129. If the delivery was not done on time, Temu gave customers a credit of US\$ 5. It had a Purchase Protection Program in place where refunds were given for items that did not match the listing, arrived damaged, or did not arrive within 90 days of ordering.

ATTRACTING CUSTOMERS

Temu’s business model was based largely on Pinduoduo’s direct-to-consumer business model. In the absence of wholesalers, distributors, and retailers, the overhead costs were low, and Temu passed on the savings to consumers. According to John Deighton, (Deighton), Professor at Harvard Business School, *“Temu’s model leads to higher sales, lower costs, and ultimately, lower prices for consumers by guiding factories to produce what shoppers want, as and when they want them.”*^{iv}

Temu’s suppliers included artisans, craftspeople, and small enterprises, located across the world, with most of them in China. Other countries from where Temu sourced items were India, Morocco, Thailand, Mexico, and Indonesia. Temu also sold products from top companies like Xiaomi, Redmi, Oppo, Vivo, and Lenovo in electronics; and Innisfree, Etude House, and the Face Shop in beauty and skincare.

Direct sourcing came with its own challenges. Temu made sure that it collaborated with manufacturers who maintained high quality and followed ethical practices. It had a strict policy against listing and sale of products that violated third-party trademarks, copyrights, or patent rights. (Refer to **Exhibit I** for Temu – Supplier Code of Conduct).

Temu’s role was to facilitate payment, acquire and verify merchants, and take care of logistics with its partners. It invited the suppliers to show their products, and selected a few from them to open a store on the platform. The suppliers were required to send a specific number of products to Temu’s warehouse located at Guangzhou. At the warehouse, Temu took care of packing, shipping, and delivery. In the US, local delivery services were used to send them to customers.

A major issue with Temu compared to local e-commerce websites in the US was the time it took for the order to reach customers. Amazon, Temu’s main competitor in the US had a well-developed supply chain system as a result of which the products arrived in a few days. In the case of Temu, an order took 6 to 7 days to arrive. (Refer to **Exhibit II** for Temu’s Logistics Flow and Cost)

¹¹ Kearney is a US-based global management firm.

Temu essentially targeted millennials and Gen Z customers who were price-conscious and demanded quality and value. It carried out marketing and promotional activities as well as after-sales services itself. It gave suppliers information about the latest trends and products that were in demand. This proved to be an advantage for the suppliers and manufacturers, who were not exactly aware of the kind of products that were popular in the market. Deighton said, *“Temu uses the software of its parent company to match China’s manufacturing capacity to consumer demand in the US, and soon it’ll do the same kind of matching throughout much of the world. It does this matching not only for fashion but for retail goods in general.”*^v (Refer to **Exhibit III** for more about Chinese suppliers)

Temu claimed that it was able to offer deep discounts due to a well-developed network of suppliers, merchants, and logistics partners, along with its parent company’s well-built ecosystem. (Refer to **Exhibit IV** for Temu’s Business Model.)

BUILDING THE CUSTOMER BASE

One particular noteworthy attribute of Temu’s was its marketing-heavy strategy. In the US, startups and new companies were wary of spending heavily on advertising, and did not consider advertising as a tool to penetrate and grow in a new market. But Chinese companies that focused on discovery and recommendations driven by AI, started off with a huge advertising budget. The main reason for this was that the model of algorithm recommendations needed large data sets to work. With a lot of data at their disposal, these companies were able to give high-quality recommendations and showcase personalized products to customers.

AGGRESSIVE ADVERTISING

In the first month, not many users discussed Temu on social media, but there were several ads of Temu on different platforms. Temu placed over 1,000 ads on Meta¹² in the first month.¹³ It also advertised extensively on iOS¹⁴ and Android¹⁵. Juozas Kaziukėnas, founder of e-commerce analyst firm Marketplace Pulse, said, *“I believe it’s driven almost exclusively by ads, because I’m seeing relatively no mentions of Temu on social media. That makes me believe that there’s very little organic recognition of the brand yet.”*^{vi}

In order to penetrate the US market, it advertised during the Super Bowl¹⁶ on February 19, 2023. Temu’s 30-second commercial was aired twice during the championship game. The ad showed a woman trying out different clothes virtually using the Temu app on her smartphone, and helping her friends find products on the app. The ad ended with a message – *“Download the TEMU app and shop like a billionaire.”*^{vii} Temu’s spokesperson said, *“Through the largest stage possible, we want to share with our consumers that they can shop with a sense of freedom because of the price we offer.”*^{viii}

Advertising professionals said that Temu paid US\$ 14 million for the two advertising slots and expressed surprise that a fairly new company was spending so heavily on ads. Justifying Temu’s stance, Bo Pei, an analyst at U.S. Tiger Securities, said, *“They want to be known as the cheapest*

¹² Meta, formerly called Facebook, Inc., operated Facebook (social networking), Instagram (photo and video sharing social networking), Threads (social media and social networking service), and WhatsApp (instant messaging and VoIP service)

¹³ During one month, another Chinese app in the US, Shein, ran only a few dozen ads.

¹⁴ iOS is a mobile operating system developed by Apple Inc

¹⁵ Android is a mobile operating system owned by Google.

¹⁶ The Super Bowl is the annual league championship game of the National Football League. The Super Bowl ads are popular for extremely high viewership and reach, as Super Bowl games are among the most watched television programs in the US.

place to shop online. The first step is to create mindshare. And they're going to spend a lot of marketing dollars to create that mindshare."^{xix} This ad was watched on YouTube 341 million times in 3 months.

SOCIAL MEDIA AND NETWORKING

Several consumers who shopped on Temu posted their reviews on Reddit¹⁷, claiming that the products were priced low. Some said that prices were half of those on Amazon. Users specifically praised Temu's policy of giving customers US\$ 5 for late deliveries.

Temu launched a slew of social media campaigns, where it reached the users and shared with them the benefits they could get when they invited their friends to sign up. For each reference customers were given points, and if the referred person signed up, additional points were given. If a user succeeded in convincing a lot of friends to sign up with Temu, he/she could use the credits accumulated to get free items. The accumulated points could be redeemed for different products on Temu.

A user from Texas said she had heard of Temu from her friend, found it interesting, and posted about it on her social media pages like Facebook, TikTok, and Snapchat¹⁸. She then convinced her friends to join the app. When several of her friends joined Temu, she got credits, which she exchanged for items worth US\$ 200. She said she bought a few interesting items like a ring light, an oil diffuser, necklaces, etc.

Temu encouraged customers to join with others – friends or strangers – to get group deals on premium items. This was similar to Pinduoduo's model, where customers ordering as a group got extra discounts. It also ran campaigns on social media platforms like Instagram, Facebook, and Snapchat. Temu was popular on TikTok too and #temu had garnered 300 million views by February 2023. There were several videos on TikTok about Temu hauls, and unboxing Temu.

The aggressive nature of Temu's advertising can be gauged from the fact that in January 2023, it ran 8,900 advertisements on the Meta platform. These advertisements featured Temu's sales and products that were sold at deep discounts. Meta's page showed that on one day in September 2023, Temu had released over 185 ads on Facebook, Instagram, Meta's audience network, and messenger.¹⁹ These ads were products like bags at US\$ 3.39, shoes at US\$ 4.49, clearance sale of shoes priced around US\$ 5, Christmas decorations at US\$ 0.83, wireless earphones at US\$ 1.69, mini grinder at US\$ 1.99, car refrigerator priced at US\$ 17.84, etc. New app users were given special discounts. In February 2023, Temu paid for 862 keywords on Google Play and iOS app store to get top listing.

GAMIFICATION

Temu used gamification and fun incentives to attract customers. Through games, it kept customers engaged, and encouraged them to buy from it, and also share it with more people. For example, if a customer bought a product, say a make-up product regularly, he / she could win a free product of the same category by playing a game that was displayed on the Temu app. The game could be an online jigsaw puzzle, putting on virtual makeup, etc.

A customer who ordered several products through Temu received a game called Fishland, where she was required to feed virtual fish thrice a day. If she ran out of fish food, she had to refer a friend or acquaintance to Temu to get more fish food. The game constantly displayed how much food to collect before the customer got a product free. (*Refer to **Exhibit V** for the screenshot of the Fishland game*).

¹⁷ Reddit is social aggregation and discussion website

¹⁸ Snapchat is a US-based instant messaging app.

¹⁹ Facebook Ads Library of Temu.

After playing several rounds of Fishland, the customer won several freebies from Temu like a hotpot with grill, camera drone, storage organizer, etc. As she continued playing Fishland, and referring more and more people to Temu, her free gift bounty continued to increase.

There was another game called Farmland where the customers had to water plants at regular intervals. Every time the crop was watered, the customer received credits up to US\$ 0.02. After watering the crop for a few days, the customer could harvest it. The games changed and were updated constantly.

Another game was Hattrick Draw, where the user needed energy to start playing the game. The energy was earned through referrals. To get referrals, the user had to send the code to others, and when they used it to play a game, the sender got free points. One more popular game was Candy Jar, where users were required to fill a jar with candies. Users could get candies in several ways – one was through logging in. For logging into the game, they were given a few candies. If they played continuously for three days, bonus points were given. While 100 candies were given for inviting existing users, 45 candies were given for browsing items, 20 candies for sharing the game on social media, and 1,000 candies for inviting new app users. A jar needed 200 candies to fill, and users could sell the filled jar for rewards of US\$ 0.60.

In February 2023, Temu ran a Shake & Win sweepstakes campaign, where it gave away prizes worth US\$ 10 million. After downloading the Temu app, users were required to go to the game and shake the phone to get a popper, which gave away coupons, Temu Credits, and numbers. After collecting six numbers, users could enter sweepstakes. In the sweepstakes customers could win coupon bundles, Temu credits, and mobile phones. The winners were encouraged to share details of what they had won on social media, and get more credits.

DISCOVERY MODEL

Discovery-based shopping was Temu's core offering. This was mostly used in the fast fashion arena. Discovery-based shopping gave users an endless choice of products. As users scrolled through, they found several products that could be useful, could improve their lives, help in making daily chores easier, were inexpensive, etc. The aim was to keep the users engaged with the app, so that those who visited it to buy one product, continued to scroll, and ended up buying many products.

For the discovery-based apps to function it was necessary to know clearly which products were related to the other (as per users), so users were grouped based on their purchases. When a user browsed through the app, based on the browsing data, past purchases, and group's orders, recommended products appeared. This needed vast data sets about customers, their purchasing habits, and many new products. If an online store listed just a few items, or it had only a few subscribers, personalization became difficult.

Discovery-based apps were used in China by ecommerce platforms like Tmall²⁰. These apps functioned more like large retail stores, where a customer who went to buy one item, ended up buying a few more. In the case of Temu, consumers usually started browsing it when they were bored, and started putting some items in the cart, then revisited it and bought items. Connie Chan from Andreessen Horowitz said, *"It's literally shopatainment ... consumers are far more likely to spend time — and consequently money — with apps that they enjoy spending time with."*^x

In contrast, US-based e-commerce was search-based. For example, Amazon gave recommendations based on search data. A pattern was observed, where customers visited the Amazon app or website only when they wanted to buy something, and then searched for it.

²⁰ Through Tmall, Chinese and international companies sold their products to customers in Greater China.

Another feature of social-based apps was that they encouraged users to share their ‘discoveries’ on the app with their friends, and seek their opinions. Some apps had a feature using which customers could share the details of products they wanted to buy and ask their friends to rank them in the order of which had to be bought immediately, and which could be bought later.

Describing Temu, Fast Company said it was of the impression that there was a heavy emphasis on discovery at the company.^{xi} Customers who opened Temu could find several new things as they kept browsing. According to Fast Company, *“Being drawn in by something you didn’t know you wanted until the app showed it to you, with a crazy cheap price tag attached.”*^{xii} Americans had got used to discovery shopping, where they spend a lot of time scrolling through products on apps or websites and purchased them though they ‘didn’t actually need them. Discovery shopping was said to be one of the reasons for Americans buying five times more clothes in the 2020s compared to the previous decades.^{xiii}

By attracting a large number of customers in the first few months of its launch, Temu was able to use recommendation algorithms, which helped it create personalized product lists for its customers. It had a page called ‘Selected for You’ where product recommendations for customers were given. With more people using it, the recommendations were expected to only become better. Connie Chan, in a post said, *“Temu serves you an endless scroll of things you might want to buy to pass the time, to inspire you, or to find things that might improve your life.”*^{xiv}

Temu was planning to spend US\$ 1.4 billion on advertising in 2023 and US\$ 4.3 billion in 2024.

THE RISE OF TEMU

Analysts said Temu was a combination of Amazon and Shein. Like Amazon, it had a wide range of products and it sold these at low prices, it used social media and influencers to promote the products. It also regularly brought out several new products like Shein did. Temu attracted customers by offering a discount of a minimum 30% on all products. It handled all international shipping, and suppliers were paid after the customers received the goods. *“It seems like they’re being subsidized to be a loss leader in order to gain market share, which is not unlike what Amazon did for a long time,”* said Douglas Schmidt, a professor of computer science at Vanderbilt University.^{xv}

During the first five months of its presence in the US, Temu’s GMV stood at US\$ 500 million, reports by YipitData, a data analytics company, said.^{xvi} From time to time, Temu offered flash deals, extremely low prices, and discounts of up to 89%. Customers remarked that the breadth of its items and prices were remarkable. Michael Felice, an associate partner at management consulting firm Kearney, said, *“Temu might be exposing a white space in the market wherein brands have been producing at extreme low cost, and along the value chain there’s been so much bloated cost passed on for margin.”*^{xvii}

Temu quickly gained popularity, and just eight weeks after its launch, it was the 39th most downloaded app in the US. There was no looking back for the company after this and it grew rapidly, adding thousands of products every day. During the 2022 holiday season, Temu was No.12 in terms of the holiday traffic on websites – ahead of popular retailers like Kohl’s, Wayfair, and Nordstorm.

By March 2023, the Temu app had been downloaded by 50 million people in the US. It had also become the most downloaded app in Google Play store and App Store. In comparison, Shein had taken about 3 years to cross 50 million installations. In March 2023, Temu was launched in Australia, New Zealand, and the UK. Along with the US, Temu had launched in Canada, where it became the top ranked app. By June 2023, it had expanded to 16 countries in North America, Africa, and Oceania.^{xviii}

When worldwide app downloads were considered, for August 2023, Temu was in the second position on iOS Appstore and in the eighth position in total downloads with 22 million downloads. On August 18, 2023, just short of one year of its launch, Temu totaled 100 million downloads.

According to Appfigures.com, Temu averaged 700,000 new downloads every day from iOS Appstore and Google Play. Half of these were from the US. Time magazine said in an article, “Temu’s business model—if it catches on—could also have major implications for U.S. retailers and the global supply chain in the coming year.”^{xxix} (Refer to **Exhibit VI** for Temu’s App downloads as of September 2023).

Temu’s growth meant both sellers and buyers were benefiting from it. Sellers who had set up their products on Temu could access a customer-base from across the world. Though Temu did not reveal the commission it charged from the suppliers, observers said it would have to be lower than what other competitors in the US like Amazon were charging (15%), as Temu was looking at building the supply side of the marketplace. They said that the commission might be on the lines of what Pinduoduo charged, which was 0.60%.

A bag supplier said that in 5 months, he had sold more than 3,000 bags through Temu. He said that he earned margins of up to 25% and that Temu usually sold his products at twice or three times the price of the original product. A customer who ordered a bag from Temu said she was very impressed with the quality, and the price was one third of what an Amazon seller charged. The customer who reviewed a few products in Temu said most of the products were of good quality, and she could return products that she was unhappy with.

Pocket-lint²¹ that examined products from Temu reported, “*Pocket-lint editors have purchased around 30 products from Temu. Everything arrived on time, operated as described, looked as pictured, and were good quality. We were impressed to be honest and will be ordering from Temu again.*”^{xx}

In May 2023, spending on Temu was 2% higher than on Shein in the US, according to Bloomberg Second Measure^{22, 23}. The Bloomberg report said, “*As American consumers grapple with runaway inflation, the bargain shopping app backed by a Chinese tech company is on a tear.*”²⁴ Bloomberg reported that Shein had taken about a decade to catch up with fast fashion major Zara to become the largest fashion retailer in the world, but Temu had overtaken Shein in just a year. According to consulting firm GWS, Temu’s users spent 23 minutes on an average per day on the app, while Shein users spent 15 minutes.^{xxi} (Refer to **Exhibit VII** for Unique Visitors to Shein’s and Temu’s websites).

GROWING COMPETITION

As Temu grew, competition also increased. While Amazon was in the clear pole position in the US e-commerce and Temu was expected to take some time to reach there, its immediate competition came from Chinese players.

Temu’s competition was mostly from Shein, which had ventured beyond fashion and lifestyle, and started selling household products, appliances, fixtures, wallpaper, etc. Shein launched its own online marketplace, allowing third-party merchants to sell on its platform.

Apart from Shein, Temu’s major competitor was TikTok which was looking to start its own e-commerce app in the US. TikTok’s parent company ByteDance had started approaching suppliers and luring them with the offer of a cost-free marketplace. It said it would list the products, ship them for free, and would not charge commissions or warehousing fees from the suppliers. These measures were expected to disrupt the US e-commerce marketplace, including Amazon. TikTok specified that merchants would have to just submit product information and ship the goods to its warehouse in Guangzhou and the company would look after the other things. One advantage that

²¹ Pocket-Lint is a consumer tech reviewer based in the UK

²² Bloomberg Second Measure analyzed debit and credit card transactions to report spending habits.

²³ Temu sales surpass Shein in US. China Economic Review.com, June 15, 2023

²⁴ A Once-Obscure Chinese Startup Overtakes Shein In US. Bloomberg.com, June 14, 2023

TikTok had its wide reach through its presence in over 150 million devices in the US. TikTok had already started the marketplace in the UK and Saudi Arabia and it also had a presence in South East Asia.

TikTok's e-commerce place was a collection of mini-stores that were linked to the profiles of influencers. The followers of these influencers discovered the stores through the feeds. TikTok included a 'shop' tab on its main page, which took the followers to the mini-stores, at which they could shop.

IS TEMU ON THE RIGHT PATH?

Some analysts were not convinced about Temu's model of relying heavily on ads to drive transactions. They said Temu should be able to attract repeat customers to survive and grow. Juozas Kaziukėnas said, *"At one point, ads will become too expensive and too inefficient to justify the costs."*^{xxii} Others pointed out that with growing inflation, people were looking for low-priced products, and were opting for Shein. Adam Blacker from Apptopia said, *"The current economic environment is certainly helping Temu as consumers are looking to get the same things they need for less in order to combat inflation. But will the music stop when the paid ad machine shuts off?"*^{xxiii}

Douglas Schmidt, was of the opinion that if Temu continued to sell products at low prices with an eye on remaining competitive, other players like Amazon might also start cutting prices, squeezing the suppliers. He said, *"This is an interesting example of the manufacturing base in China getting sufficiently sophisticated that it no longer feels like it needs to go through distributors. They're selling directly to consumers. And there are a lot of people who are hurting economically and looking for a bargain. This is obviously going to put pressure on producers of goods to further slash their cost basis and profit structure—which could have the consequence of further eroding domestic manufacturing in the U.S."*^{xxiv}

The low prices came at the cost of the suppliers, and Temu was accused of squeezing small manufacturers in China to reduce prices. Its suppliers expressed unhappiness with its pricing practice. The company, they said, pitched suppliers against each other to offer low prices. One of the suppliers who sold small household items on Pinduoduo and had joined Temu, said he the company had asked him to reduce prices very often. He said, *"You don't have a say over it. If you are not willing to lower the price, they are likely to remove your product from their listings."*^{xxv} He also said that the quality control process at Temu was very strict, and even a slight variation could result in the whole line being rejected.

A supplier, complaining about Temu's practices, said Temu's officials showed photos of most popular items selling on the app, and looked for suppliers who sold that product at the lowest price. This, the supplier said, was leading to price wars among suppliers.

Another supplier claimed that after her products had sold well on the app, she was asked to manufacture more, and after she did that and shipped them to the warehouse, she was asked to reduce their price. If suppliers did not agree to reduce the prices, their products were delisted. Another issue the suppliers faced was returns. It was very common for the customers to return products they were not happy with. While Temu also assured them that customers could do so, the suppliers claimed that often, processing returns cost more than the product itself. Starting December 2022, Temu asked the suppliers to bear half of the shipping cost to transport the products to the Guangzhou warehouse. Several suppliers complained that it added to their cost.

Many Amazon sellers from China alleged that sellers on Temu copied the photographs, product description, and keywords from their listings. They complained to Temu about the duplicate listings. The Amazon sellers claimed that sellers on Temu sold products similar to theirs at a 30% discount. Several Amazon sellers claimed that these listings had impacted their sales. *"Recently, I found a malicious Temu competitor who sells exactly the same product as mine at a much lower price, the competitor completely copied my product description, and my browse tree,"*^{xxvi} an Amazon seller complained on social media platform Xiaohongshu.

Wired²⁵ analyzed the company's supply chain costs and concluded that Temu could be losing US\$ 30 per order. It claimed that *"Temu, which has been trying to break into the US market and compete with Amazon using aggressive discounting, had pressured sellers in its own supply chain to drop their prices to help it undercut rivals."*^{xxvii}

Security trading and brokerage firm China Merchants Securities predicted that Temu could be losing about RMB 4.15 billion to 6.73 billion per year. Another study suggested that shipping a small package from Guangzhou to US cost around US\$ 14. This, along with service and administrative costs, discounts, and coupons given to customers, meant the sellers incurred a total loss on each order of around US\$ 30.

LOOKING AHEAD

According to retail marketing consultant Cathy Hotka, for Temu, one of the major challenges would be win the loyalty of US shoppers. Though it would be able to attract customers with low prices, Temu needed to maintain quality in order to retain shoppers. At the same time, low prices were not always welcome for American consumers. Michael Felice from Kearney said, *"American consumers might not even be ready to accept some of these price points ... There's always the question, 'is it too cheap to be good?'"*^{xxviii}

Another challenge Temu faced pertained to high-end goods. According to Humphrey Ho, a partner at Hylink Digital, an advertising agency that operated in the US and China, *"It would be challenging for a Chinese newcomer to become a trusted place to buy high-end goods."*^{xxix} He was of the view that US consumers might depend on Amazon for high-value purchases, while when it came to medium and low priced items, Temu would offer serious competition to Amazon and other players.

An area of concern was free shipping. Deborah Weinswig, CEO of Coresight Research, said maintaining low price points would be difficult in long run, as Temu would not be able to afford free shipping forever.

Temu also needed to improve its customer service and shipping. Some users complained that they had received incorrect orders, and an unresponsive customer service. A user said that she had ordered a lot of Christmas presents for her family and friends from Temu, but had received them only after Christmas. She said she had had to contact customer service after a lot of effort and demand a refund. Temu needed to improve its customer ratings. In December 2022, its ratings on Better Business Bureau²⁶ (BBB were C at 1.4 stars out of 5.) BBB's McGovern said Temu had responded to all complaints, but it needed to improve further. BBB also pointed out that there were no complaints of counterfeit or fake goods. As of September 2023, the rating was C⁺²⁷.

Temu was using a provision that allowed duty-free shipments of up to US\$ 800 into the US free. For this purpose, it dispatched small packages from Guangzhou to the US. But a lobby in the US was asking the US government to reduce the threshold from US\$ 800 to US\$ 10. If that happened, it would be a major challenge for Temu to contend with.

According to a company insider, Temu was looking at each American buying 30 items per year from its app, with the average order size being US\$ 50. According to Zhanglian, a media outlet that reports on China's logistics and supply chain industries, the average order size was US\$ 25 as of 2023, and sales were growing at an average of 6% per week. Temu was targeting a GMV of

²⁵ Condé Nast-owned Wired is a monthly American magazine focusing on technology.

²⁶ The *Better Business Bureau* (often abbreviated to *BBB*), founded in 1912, is a non-profit organization that seeks to improve trust between consumers and businesses by encouraging businesses to adhere to good codes of conduct.

²⁷ BBB's ratings range from A+ (highest) to F (lowest)

US\$ 30 billion by 2028 in the US. It planned to establish and maintain a reputation for offering low prices, gain traction, and then reduce marketing spend. By then, customers were expected to have turned into regular buyers. It was Temu's long term plan to become a major player in the US e-commerce space, first by surpassing Shein, and then taking on US-based global giants like Amazon. But to reach these goals, Temu would need more than just advertising and rewards.

Though Lei was happy with Temu's progress, he was also keenly observing the growing competition. He thought that he needed to improve customer service and quality in order to maintain the momentum. He also needed a plan to keep customers engaged with Temu even after the reducing the advertising budget. Above all, can Lei help Temu overtake Amazon in the US?

Exhibit I:

Temu – Third Party Code of Conduct

Ethics: Ethics is at the forefront of everything we do here at Temu. We believe in conducting business with integrity and honesty.

Anti-Bribery & Anti-Corruption: All Temu employees, contractors, merchants, suppliers, and other third parties are strictly prohibited from offering or accepting improper payments or benefits.

Conflicts of Interest & Self-Dealing: Temu employees, contractors, merchants, suppliers, and other third parties cannot use their position to obtain benefits for themselves or their relatives.

Antitrust & Anti-Competitive Behavior: Temu does not tolerate price fixing, geographic monopolization, and merchant sabotage or merchant gaming.

Human Rights: Temu respects and seeks to protect and advance the human rights of everyone everywhere.

Sanctions: Temu does not work with third parties from sanctioned countries; and it does not permit offering products (or components of products) for sale that originated in or were manufactured using component parts from the sanctioned countries.

Labor: Temu has a zero tolerance policy for the use of forced, indentured, penal labor, or child labor.

Employment by all of our merchants and suppliers must be strictly voluntary.

Wage & Hour: Temu's merchants, suppliers, and other third parties must pay their employees and contractors on time and must comply with all applicable local wage and hours laws.

Occupational Safety: All environments in which third parties work on behalf of or in conjunction with Temu and Temu's merchants must be safe and non-abusive.

Environmental Protection: We strive to protect the environment and natural ecosystems in everything we do. To that end, Temu offsets a portion of carbon emissions generated by its business.

** Not Exhaustive*

Adapted from https://aimg.kwcdn.com/upload_aimg/about_us/Temu-Third-Party-Code-of-Conduct.pdf

**Exhibit II:
Temu's Logistics Flow and Cost**

1 day	1 day	2-3 days	2 days (5-7 days to remote regions)
There are flights every day	Not longer than 3 days	From the airport to the transshipping depot in California	Delivered to customers directly from the transshipping depot by USPS.
Transshipping Depot	Customs clearance	Transshipping Depot	Delivered to customers
Guangzhou	Airport, California	California	the U.S.
			
Part 1 About \$1 incl. tariff			Part 2 \$3-5

Source: <https://www.ejet.com/what-is-temu/>

**Exhibit III:
Chinese Suppliers**

Reach of Chinese suppliers

From the 1970s, several US and European companies had been shifting their manufacturing bases to China. Several other companies had entered into contracts with prominent Chinese suppliers, who supplied them products as specified. Thus, prominent US retailers like Walmart, Costco, and Target, sold private label products manufactured in China. Other companies like Michael Kors, Chanel, Nike, Converse, Apple, Gillette, etc., too all relied on Chinese manufacturers.

There were several other small and mid-size suppliers in China who did not have access to large foreign markets in North America and Europe. With the growth of e-commerce, some Chinese companies started selling their products directly through e-commerce websites like Amazon. Some Chinese sellers posted their ads on American social media platforms and shipped products directly to customers.^{xxx}

Chinese sellers displayed their products on Amazon websites across the world. According to EComCrew, Chinese sellers accounted for 63% of all third party sellers²⁸ on Amazon.^{xxxi}

Top Amazon Sellers by Country

Country	Number of Sellers	Percentage
China	208	59.3%
United States	122	34.8%
Hong Kong	14	4.0%
Great Britain	2	0.6%
Australia	1	0.3%
Mexico	1	0.3%

²⁸ Third party sellers use Amazon as a marketplace and ship their products directly to consumers. According to Amazon, these sellers account for 60% of its sales. Other sellers are first party seller, a brand manufacturer selling to Amazon directly, and second party seller who use distribution partnership with Amazon to ship their products.

Country	Number of Sellers	Percentage
Puerto Rico	1	0.3%
Ukraine	1	0.3%
Vietnam	1	0.3%

<https://www.ecomcrew.com/chinese-sellers-manipulating-amazon/>

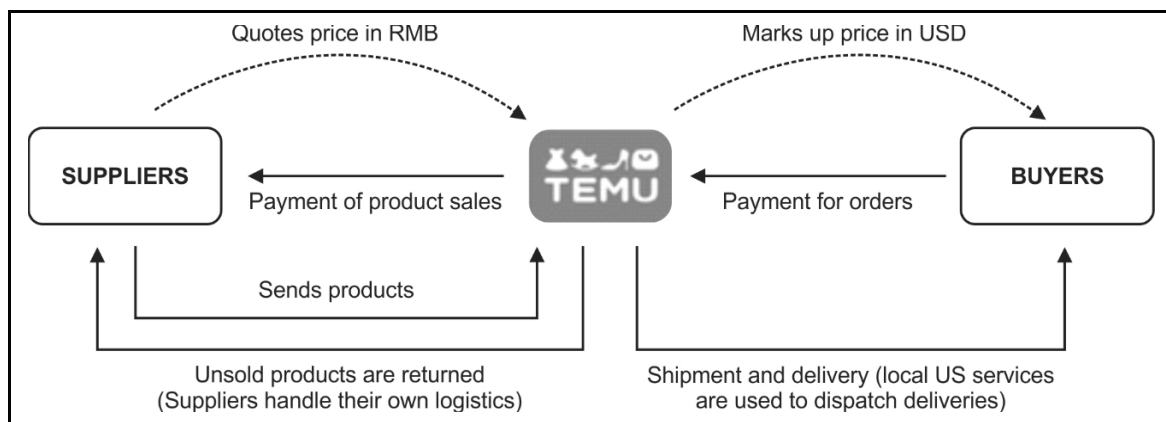
E-commerce was highly popular in China and local Chinese giants like JD.com and Taobao.com had had a huge impact on the country. A lot of Chinese manufacturers sold on local e-commerce platforms, and they started selling on global and American e-commerce platforms too. They took on Amazon, whose aim was to offer its customers the best products and the lowest price. The Chinese manufacturers offered that and more. They were ready to ship the products to consumers. In a bid to attract more sellers, Amazon regularly held summits and conferences in China, which existing and new sellers attended. More Chinese sellers on the US and global e-commerce websites meant more exports for China.

The Chinese government encouraged local suppliers in many ways. It created manufacturing clusters. In these clusters, groups of connected companies designed and developed products rapidly, sourced from the cluster, manufactured there and worked nimbly with the help of micro supply chains. Thus, the products were designed and manufactured within a short time and had short turnaround times. It created 132 pilot zones across the country, where suppliers were given discounts to ship goods abroad.

The local provincial governments also encouraged small and medium sellers to sell through global e-commerce websites.

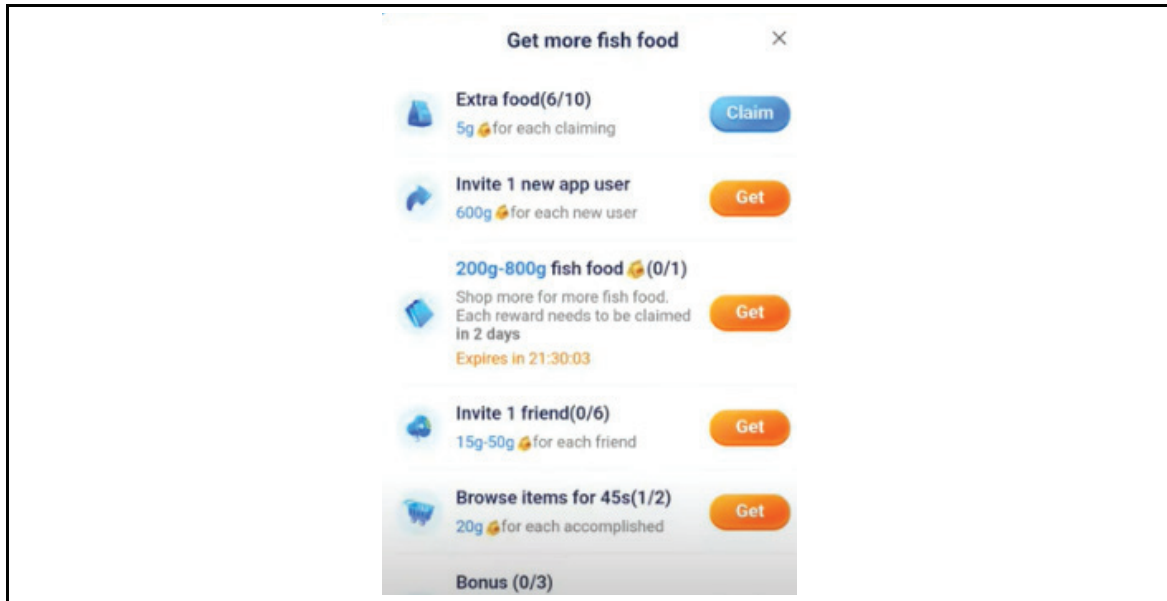
Compiled from various sources

Exhibit IV: Temu's Business Model



Source Momentum Works, accessed from <https://marketingtochina.com/temu-pinduoduos-platform-outside-of-china/>

**Exhibit V:
Screenshot of Fishland Game**



Source: Screenshot of Fishland game

**Exhibit VI:
Top Apps on iOS Appstore and Google Play Store (September 2023)**

iOS Appstore	Google Play Store
 1. Temu: Shop Like a Billionaire Free · Temu	 1. Temu: Shop Like a Billionaire Free · Temu
 2. Lapse - Disposable Camera Free · Lapse	 2. SHEIN-Shopping Online Free · Roadget Business PTE. LTD.
 3. Amazon Prime Video Free · AMZN Mobile LLC	 3. MONOPOLY GO! Free · Scopely
 4. Retro Bowl College Free · New Star Games	 4. Wendy's Free · Wendy's Int'l., LLC
 5. MONOPOLY GO! Free · Scopely, Inc.	 5. McDonald's Free · McDonalds USA, LLC
 6. Google Free · Google LLC	 6. TikTok Free · TikTok Pte. Ltd.
 7. ChatGPT Free · OpenAI	 7. Talkie: Soulful AI Free · SUBSUP123
 8. TikTok Free · TikTok Ltd.	 8. Instagram Free · Instagram
 9. Max: Stream HBO, TV, & Movies Free · WarnerMedia Global Digital	 9. WhatsApp Messenger Free · WhatsApp LLC
 10. WhatsApp Messenger Free · WhatsApp Inc.	 10. FaceMax Photo Editor: AI Aging Free · Deep Fried Dumplings Game Studio

Source: <https://appfigures.com/top-apps/ios-app-store/united-states/iphone/top-overall>

Exhibit VII:
Number of Unique Visitors – 2022

(in million)

Month	Shein	Temu
January	20.7	
February	22.2	
March	28.0	
April	31.1	
May	31.7	
June	30.0	
July	28.7	
August	28.9	
September	30.3	05.1
October	34.3	13.9
November	38.0	37.5
December	35.1	44.5

Source: ComScore Media Metrix

End Notes:

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